CSIS | KOREA DAILY BRIEF

Tuesday, October 27, 2026 No. 216 10 min read

TODAY AT A GLANCE

1. South Korea's GDP grew 1.0% in Q3, tripling the Bank of Korea's own 0.3% forecast on AI-driven chip exports.
2. North Korea forward-deployed legacy 122mm self-propelled artillery along the western border, visible from Gimpo.
3. Switzerland's foreign minister will visit Pyongyang October 29-30 to open the first dedicated Swiss political office there.

KOSPI	USD/KRW	BRENT	LEE APPROVAL	KIM LAST SEEN	BOK RATE
5,638.34	1,327.18	$110.15	39%	Oct 25	2.50%
+3.1%	+0.4%	−4.9%	+2 pts Oct 13-15	2 days ago	Oct 2026

01 | TOP STORIES

Korea Times, ROK Economy

South Korea Q3 GDP grows 1.0%, triple Bank of Korea forecast, on AI chip surge

South Korea's real GDP rose *1.0%* quarter-on-quarter in the July-September period, tripling the Bank of Korea's own 0.3% projection, driven by booming semiconductor exports, the central bank said Tuesday.

Growth rebounded to 1.8% in Q1, and with three consecutive above-forecast quarters, some analysts now see annual growth reaching 4%. The Bank of Korea separately warned that chip exports could fall by up to $100 billion if AI spending slows.

NK News / Korea Times, DPRK

North Korea forward-deploys 122mm self-propelled artillery along western border, visible from Gimpo

NK News photography from the Aegibong observatory in Gimpo captured at least three North Korean 122mm self-propelled howitzers deployed along the Jogang River coastal border area of Kaepung County, Hwanghae Province, farther south than their usual positions. South Korea's Joint Chiefs of Staff assessed the weapons as legacy systems, not the new artillery Pyongyang recently threatened to forward-deploy, and said the deployment was "in plain view."

Defense Minister **Kang Shin-chul**'s separate remark, "Can we really trust the US military?", at a National Assembly hearing prompted a ministry clarification that the comment was meant to argue for wartime operational control (OPCON) transfer, not to question alliance reliability.

NK News, DPRK

Swiss foreign minister to visit Pyongyang Oct 29-30 to open first dedicated Swiss political office

Swiss Foreign Minister **Ignazio Cassis** will make a two-day visit to North Korea beginning October 29, attending the official opening of the first dedicated Swiss political office in Pyongyang and meeting DPRK officials, according to the Swiss government.

The visit is the highest-level Western diplomatic trip to Pyongyang in years. Switzerland has served as a protecting power for the United States in North Korea.

02 | OVERNIGHT

Reuters, ROK Economy

Bank of Korea warns chip exports could fall up to $100B if AI spending slows

Downside risk flag alongside today's Q3 beat.

Yonhap, ROK Politics

Supreme Court issues additional arrest warrant for former first lady Kim Gun-hee, extending detention

Democratic Party calls verdict "natural result."

NK News, DPRK

US Treasury removes two Chinese animation firms and a Chinese national from North Korea sanctions list without explanation

Moxing Cartoon, Shanghai Hongman, and Lu Hezheng delisted from SDN.

NK News, NK-Russia-China

Six North Koreans killed when train strikes vehicle in Russia's Jewish Autonomous Region

Russian authorities launched a criminal probe; seventh passenger survived.

Daily NK, DPRK

North Korea conducting final screening of unmarried women in their 20s for Chinese factory jobs, deployment possible by December

Recruitment closed in South Pyongan province in late September.

Bloomberg, Energy

Nuclear startup Elementl secures Korean backing for $750M push

Korean investors join advanced nuclear buildout stateside.

The Straits Times, US-Korea

US visitor visa refusal rate for South Koreans reaches nearly 25%, over four times Japan's rate

Highest rate on record under tighter US immigration scrutiny.

CSIS, DPRK

CSIS Korea Chair podcast: Kim Jong Un's Dandong trip and DMZ tensions dissected

Korea Risk Group's Jeongmin Kim on what the bridge crossing signals for diplomacy.

03 | STAT OF THE DAY

1.0%

South Korea Q3 2026 real GDP growth (quarter-on-quarter)

The Bank of Korea's own forecast was 0.3%; the outperformance puts annual growth within reach of 3-4% and follows 1.8% Q1 growth, per Bank of Korea preliminary data released today.

Korea Times / Bank of Korea, Oct 27 2026

04 | PYONGYANG WATCH

Kim Jong Un

No public appearance today, last seen 2 days ago

No KCNA watch flag. 5 provocations logged in the last 7 days.

TOP KCNA ARTICLES

Yonhap News Agency, Kim Jong Un

Kim Jong Un sends reply message to Vietnamese President, vows to deepen ties

KCNA reported Kim Jong Un sent a reply message to Vietnamese President To Lam pledging to strengthen bilateral relations.

Korea Times

North Korea opens 18th Pyongyang Autumn International Trade Fair amid sanctions

The DPRK opened its annual trade fair in Pyongyang, attracting foreign participants despite UN sanctions.

Yonhap News Agency

North Korea officials pay tribute to fallen Chinese soldiers at Friendship Tower

North Korean officials laid wreaths at the Chinese People's Volunteers Friendship Tower, continuing commemorations of the 76th Korean War anniversary and Kim's Dandong visit framing.

SENIOR OFFICIALS

Choe Son Hui, Foreign Minister

North Korean Foreign Minister carried a $3,500 luxury handbag during the China trip, per NK News reporting on the diplomatic delegation's public appearances in Dandong.

> **Bottom line:** KCNA led with Kim's reply to Vietnam and the Pyongyang trade fair opening, while North Korean officials continued CPV anniversary tributes following Kim's Dandong visit.

05 | ROK GOVERNMENT

President and ministries, Tuesday, October 27, 2026

MINISTRY OF NATIONAL DEFENSE

Defense Minister Kang Shin-chul

Ministry clarifies OPCON remarks after 'US trust' controversy at National Assembly

The Defense Ministry stated that Minister Kang Shin-chul's remark, "Can we really trust the US military?", at a National Assembly hearing was intended to counter opposition lawmaker skepticism about wartime operational control (OPCON) transfer, not to question US reliability as an ally.

Korea Times

MINISTRY OF FOREIGN AFFAIRS

FM Cho Hyun

FM Cho says US asked Seoul not to get ahead on North Korea-US dialogue; pledges to raise lawmaker visa issue with SecState Rubio

FM Cho Hyun told the National Assembly Foreign Affairs and Unification Committee that the US has conveyed a position that Seoul and Washington should pace their North Korea engagement together, and separately said he will raise a visa denial issue involving a lawmaker with Secretary of State Marco Rubio.

Yonhap

MINISTRY OF UNIFICATION

Unification Minister Chung Dong-young

Unification Minister interprets North Korea's threatening statements as intent to complete 'borderization' on schedule

Unification Minister Chung Dong-young told the National Assembly that North Korea's hostile statements reflect its intention to complete demarcating the inter-Korean border ('borderization') as planned, and that the 2018-2023 Military Agreement period showed the demilitarized zone can be peacefully managed.

SBS

PRESIDENTIAL OFFICE

President Lee Jae-myung

President Lee orders all available resources mobilized for Guryong Village fire in Gangnam

President Lee Jae-myung directed authorities to deploy all available resources to fight a fire that broke out at Guryong Village in Seoul's Gangnam district on October 27, with 232 personnel and 70 pieces of equipment deployed; 39 residents evacuated with no casualties reported.

Yonhap

NATIONAL ASSEMBLY

Comprehensive national audit of Foreign Ministry and Unification Ministry held

National Assembly Foreign Affairs and Unification Committee

FM Cho Hyun and Unification Minister Chung Dong-young testified before the committee; exchanges covered US visa denials for lawmakers, the pace of DPRK dialogue, and the meaning of North Korea's threatening posture toward the inter-Korean border.

Democratic Party resolves to pursue national audit of Supreme Court Chief Justice Cho Hui-dae, targeting November 5 plenary vote

Democratic Party caucus

The Democratic Party held a caucus on October 27 and agreed to pursue a special national audit resolution targeting Supreme Court Chief Justice Cho Hui-dae over alleged interference in judicial affairs, aiming to pass the enabling legislation at a National Assembly plenary session on November 5.

06 | US-KOREA TRADE & INVESTMENT

TARIFF STATUS

Autos and parts Section 232	**15%** Reduced
Steel and aluminum Section 232	**50%** Active
Reciprocal tariff 10% surcharge (Section 122), expired Jul 24 2026	**Expired**
Section 301 USTR, Section 301 determination, pending, no fixed date	**Active**

6 more sector rates on the trade reference page; no rate changed since the last issue.

Steel and aluminum remain at 50% and autos at 15%, both under Section 232. The Section 122 surcharge expired July 24, leaving no single baseline reciprocal tariff. Section 301 investigations, launched March 11 2026 against 16 partners

including South Korea, are now the primary prospective tariff vehicle.

INVESTMENT PLEDGE, $350B

$350B pledged; 1 project selected so far, led by Encinal gas-fired power plant, Texas ($22.3B).

Structure: $150B shipbuilding (MASGA), $200B strategic sectors (capped $20B/yr), $100B US energy purchases; no official Strategic Investment Corporation drawdown figure reported to date.

07 | NORTHEAST ASIA WATCH

Yonhap News Agency

ROK and US defense chiefs to meet in Philippines ahead of ASEAN Defense Ministers' Meeting

South Korean and US defense ministers are set to hold bilateral talks in the Philippines on the sidelines of the ASEAN Defense Ministers' Meeting. The meeting will come as Seoul continues to coordinate with Washington on the timeline for wartime operational control (OPCON) transfer.

Korea Times, Russia-Korea

South Korea withdraws 8 diplomatic personnel from Ukraine: FM Cho

Foreign Minister **Cho Hyun** announced Seoul has withdrawn eight diplomatic personnel from Ukraine, citing security conditions. Seoul has maintained a reduced diplomatic presence in Kyiv throughout the Russia-Ukraine conflict.

UPI, Japan-Korea

South Korea faces US and French competition for Czech nuclear reactor deal

South Korea's bid for the Czech nuclear power plant project faces renewed competition from US and French contractors, according to UPI. The Czech deal is among Seoul's highest-profile overseas nuclear export pursuits.

08 | KOREA AND THE WORLD

Chosun Ilbo, Multilateral, Nuclear & energy

South Korea hosts first IAEA Nuclear Energy Ministerial Conference at Incheon Songdo

The International Atomic Energy Agency (IAEA) Nuclear Energy Ministerial Conference opened in Incheon on October 27, the first time the event has been held in South Korea, with 60 nations represented. Seoul used the occasion to promote its SMR development agenda and position Korea as a global nuclear technology exporter.

News On AIR, South Asia, Defense exports

India pushes shipbuilding cooperation with South Korea

India's government is actively pursuing shipbuilding cooperation with South Korea, seeking Korean expertise and technology transfer to support its own maritime industrial ambitions.

09 | BUSINESS & ECONOMY

WSJ

South Korea's economy grew faster than expected in the third quarter

The Wall Street Journal reports South Korea's Q3 GDP growth of 1.0% quarter-on-quarter, driven by AI-related chip exports and investments. The BOK's own forecast had been 0.3%, and annual growth of 3-4% is now in sight.

Korea Times

Korean consumer sentiment index falls to 105.4 in October on stock correction and Middle East tensions

The Bank of Korea's composite consumer sentiment index (CCSI) fell 1.2 points from September to 105.4, with the subindex for current economic conditions down to 82 and the future outlook index down to 88. The Bank of Korea cited prolonged Middle East military tensions and a stock market correction as the primary drags.

The Korea Herald

Lee Jae-yong steers Samsung from chip slump to AI boom, four years on

The Korea Herald profiles Samsung Electronics Chairman **Lee Jae-yong**'s four-year tenure steering the company through a memory downturn into the current AI-driven chip boom. Samsung's HBM and foundry positioning has become central to the AI infrastructure buildout.

Samsung Electronics

Reuters

South Korea Q3 GDP beats forecasts as AI chip boom boosts exports and investments

Reuters reports South Korea's Q3 real GDP grew 1.0% quarter-on-quarter, exceeding all forecasts, with semiconductor exports and related investments the primary driver. The Bank of Korea separately flagged up to *$100 billion* in chip export downside risk if global AI spending decelerates.

Bloomberg

South Korea's AI fund offers fiscal dam against higher bond yields

Bloomberg reports that the South Korean government's AI investment fund is functioning as a fiscal dam, absorbing sovereign bond demand and helping contain upward pressure on yields. The fund sits at the intersection of the government's AI industrial policy and its fiscal management posture.

10 | UPCOMING

OCT 29

Swiss FM Cassis visits Pyongyang, opens political office

Foreign Minister Ignazio Cassis begins a two-day visit to North Korea on October 29 to attend the official opening of the first dedicated Swiss political office in Pyongyang and meet DPRK officials.

OCT 29

Korea Grand Festival consumer promotion begins

The government's second Korea Grand Festival domestic consumption campaign opens October 29 and runs through November 15, offering discounts of up to 50% on goods from automobiles to agricultural products.

NOV 5

National Assembly plenary targets Chief Justice audit vote

The Democratic Party aims to pass enabling legislation for a national audit of Supreme Court Chief Justice Cho Hui-dae at a National Assembly plenary session on November 5.

NOV 6

MSIT 'All People's AI' brand public competition closes

The Ministry of Science and ICT's public naming competition for its 'All People's AI' government AI service platform closes November 6; service planned for December 2026 launch.

11 | ANALYSIS

OFFICIALS ON X

Gen. Xavier Brunson (@CDRUNCCFCUSFK), October 27

“Sustainment is not support to the fight. It is what enables us to fight and win. Today I challenged logisticians from 15 Nations at the 10th UN Command Logistics Symposium to deliver solutions and bring modern technology into our exercises. Endurance in theater is how we deter.”

Gen. **Xavier Brunson** chaired the 10th United Nations Command (UNC) Logistics Symposium, attended by representatives from 15 nations. **View on X**

Direct posts by tracked official accounts, attributed as posted. Not independently verified beyond the post.

COMMENTARY

Missile Madness: Prelude to Summit?. The piece examines whether North Korean missile activity signals preparation for a diplomatic summit. (CSIS Center for Strategic and International Studies)

12 PUBLIC SENTIMENT

Lee approval

39%

+2 pts vs Oct 6-8
Gallup Korea
October 13-15, 2026

Trend: Down from 42% on Aug 25-27, across 6 readings.

Ruling	Opposition	Independents
Democratic	People Power	
36%	**27%**	**29%**

Gallup Korea publishes weekly; this reading is 1 week old (October 13-15, 2026).

13 THE WIRE

38 North, DPRK

38 North: Third Workshop for Ideological Instructors under WPK reveals changes to Propaganda and Agitation Department cadre

38 North analysis by Michael Madden details personnel shifts among Workers' Party of Korea Propaganda and Agitation Department ideological instructors following the Third Workshop, offering a window into internal party calibration.

Daily NK, DPRK

Smuggling crackdown forces North Korean state trading units into low-paying Chinese contract manufacturing

A prolonged border smuggling crackdown in October 2026 has wiped out a major hard-currency stream for state agencies, the military, and the Workers' Party, pushing units toward poorly paid Chinese contract work.

WSJ, DPRK

WSJ: Is North Korea ready for life after Kim Jong Un?

The Wall Street Journal examines succession planning and elite dynamics inside the DPRK, alongside Kim's Dandong visit and the renewed public focus on leadership continuity.

14 SATELLITE & LOCATION WATCH

Elevated or alert, 2 of 11 sites: Yongbyon Nuclear Complex; Sohae Satellite Launch Station.

New imagery reports, Oct 27

23 steel towers mapped at North Korea's Voice of Korea shortwave transmitter in Hyangsan

Daily NK analysis of satellite imagery of a shortwave radio transmitter site in Hyangsan county, Jagang province, shows 23 large steel towers spread across four zones. The towers document the scale of infrastructure North Korea still uses in 2026 to broadcast state propaganda globally. The site is identified as a main transmission hub for Voice of Korea.

Daily NK

No new reporting on any of the 11 monitored sites since the last issue.

That's today's brief. No. 216

Feedback and tips are welcome. Write to **alim@csis.org**.

CSIS | GEOPOLITICS AND FOREIGN POLICY DEPARTMENT | KOREA CHAIR

This newsletter is automatically generated, so it may contain errors. Please check all information and sources before citing. To report errors or other issues, please contact Andy Lim at alim@csis.org.

You are receiving the Korea Daily Brief as a member of the CSIS Korea Chair distribution list.

© 2026 Center for Strategic and International Studies No. 216 generated 7:13 AM ET